

Contract Management Procedure

Document Information

- **Document Number:** PROC-042
 - **Title:** Contract Management Procedure
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1. Purpose

This procedure defines the lifecycle management of procurement contracts from initiation through negotiation, execution, performance monitoring, renewal, and close-out.

2. Scope

Applies to all procurement contracts, including goods supply agreements, service agreements, non-disclosure agreements (NDAs), master service agreements (MSAs), and software license agreements.

3. Contract Lifecycle Stages

3.1 Contract Initiation

A contract is required when: - Purchase value exceeds \$50,000 - The engagement involves intellectual property - The engagement spans more than 12 months - The supplier requires special terms and conditions - Confidential information will be shared

3.2 Contract Drafting

The Contract Manager shall prepare the initial draft using standard template agreements where available. Templates are maintained by Legal and include: - Goods Supply Agreement - Services Agreement - Master Service Agreement - Non-Disclosure Agreement - Software License Agreement

3.3 Legal Review

All contracts shall be reviewed by Legal Counsel. Legal review shall assess: - Governing law and jurisdiction - Liability and indemnification - Intellectual property rights - Data protection and privacy - Termination rights - Force majeure - Dispute resolution

3.4 Negotiation

The Contract Manager shall lead negotiations with the supplier within approved parameters. Any deviation from standard terms requires Legal Counsel approval. Key negotiation points include: - Price and payment terms - Service level commitments - Warranties - Limitation of liability - Renewal and termination

3.5 Execution

Contracts shall be executed by authorized signatories per the Delegation of Authority. Electronic signatures are acceptable for contracts up to \$250,000. Contracts exceeding \$250,000 require wet signatures.

3.6 Contract Repository

All executed contracts shall be stored in the Contract Repository with the following metadata: - Contract number and title - Supplier name and contact details - Effective and expiration dates - Contract value - Auto-renewal terms - Notice period - Key milestones and deliverables

4. Performance Monitoring

4.1 SLA Management

Contracts with Service Level Agreements (SLAs) shall be monitored monthly. SLA performance shall be documented and shared with the supplier quarterly. SLA breaches shall trigger corrective action as defined in the contract.

4.2 Contract Reviews

Each contract with value exceeding \$100,000 shall undergo a quarterly performance review. The review shall assess supplier performance, cost performance, risk status, and relationship health.

4.3 Risk Monitoring

Contracts shall be risk-rated annually: - **Low Risk:** Standard goods/services, no IP concerns - **Medium Risk:** Custom services, data sharing, moderate value - **High Risk:** Critical suppliers, IP development, high value, single source

5. Renewal and Termination

5.1 Renewal

The Contract Manager shall initiate renewal review 120 days before contract expiry. The renewal assessment shall include: - Supplier performance history - Market benchmark pricing - Alternative supplier options - Updated terms and conditions

5.2 Termination

Termination may occur for convenience, cause, or expiration. Termination for cause requires: - Written notice of breach - Cure period as specified in contract - Final termination notice if breach not cured

5.3 Close-Out

Upon contract expiration or termination, the following actions shall be completed: - Final payment and reconciliation - Return of confidential information - Transition plan if applicable - Lessons learned documentation - Contract archiving

6. Non-Disclosure Agreements

6.1 When to Use an NDA

An NDA shall be used when confidential information will be shared during the procurement process. The standard NDA template shall be used. Deviations require Legal Counsel approval.

6.2 NDA Management

NDAs shall be tracked in the Contract Repository with expiration dates. NDAs shall be limited to three years duration unless specific circumstances require longer.

7. Related Documents

- PROC-001: Procurement Policy Overview
- PROC-034: Purchase Order Process
- PROC-012: Vendor Qualification and Evaluation
- LEG-001: Contract Review Guidelines
- IT-SEC-001: Data Protection Policy